

PITCH — NAVN — VERDICT

ADJUDICATED 2026-09-16 — WATCH — band \$17.50 (conviction 7/10). The court found nothing to own at this price; the reopen gates below are the only path back.

What we believe

Navan sells corporate travel-and-expense software, but roughly 92% of what it books as revenue is a cut of travel transactions — commissions and usage fees, not subscriptions. The original brief said: bookings are accelerating, the company raised its full-year guide, the stock fell 21% on a good print, therefore this is a healthy business caught in an indiscriminate software/AI de-rate. Buy the dislocation.

After both benches, that is **not** what we believe anymore. What we now believe:

1. The business is real and solvent. \$653.0M cash plus \$167.0M short-term investments = \$820M, restricted cash correctly excluded. Positive operating cash flow last fiscal year. This is not a runway story.
2. The growth path bends down, and the company's own numbers say so. Revenue growth went +40% → +35%, the Q3 guide is +30%, and the implied Q4 is +25% (\$930M full-year guide – \$453.0M first half – \$254M Q3 guide = **\$223M vs \$178M last year**).
3. The valuation argument that justified buying — “4.8x sales is a floor” — was computed on basic shares. On a fair diluted count it is roughly **5.5x** enterprise value to sales, and this same market marked the stock at **\$8.11** inside the last twelve months, which is about **1.7x**. There is no floor.
4. The one thing the bull case had — that the stock is cheap relative to the street — is not an edge. Fifteen analysts cover it, rating is Strong Buy, average target \$29.4. Our number is *lower* than theirs, not different-and-higher. Being quietly bearish with no position is not a trade.

So: interesting name, wrong price, and no stated variant view. We want it on the sheet with gates, not in the book.

What the market believes

The market believes Navan is a fast-growing travel-tech platform that deserves a software-like multiple, and that the September de-rate was a growth-quality scare rather than a re-classification. Evidence: 15 covering analysts, Strong Buy consensus, a \$29.4 average target (TD Cowen at the high end, 8/13), a FY27 consensus of \$911.3M, and a Q3 consensus of \$248.3M sitting *below* the company's own \$254M guide — the street is taking the guide as a ceiling-ish base case rather than underwriting independently.

Two important qualifiers our blue bench forced in: - That \$29.4 target is a **pre-print** anchor. Nobody has published a post-9/09 target in our evidence. So we genuinely do not know what the street believes *today*. We are comparing our fresh view to a stale one. - Consensus for Q2 was \$220.5M, which is exactly the company's guide midpoint. For a company four quarters public, "consensus" is often just the guide restated. That means there is no independent street model to be right against — which is the *precondition* for a mispricing, but is not itself a mispricing.

There is also a visible seller. Four Form 144 notices on 8/27, five Form 4s on 8/24, and a founder-family trust converting Class B shares into Class A on 8/31 ([SEC Form 4](#)). Class B→A conversions create sellable float that never showed up in the reported float, so a standard lockup calendar misses it.

Why we might have edge

Honest answer: thin, and mostly of the "we did the arithmetic others skipped" variety.

- **Denominator work.** Most published multiples on this name use 254.3M basic shares. The reserved pool — 37.5M options plus 18.8M RSUs — is 22% on top, and RSUs roughly doubled in a single quarter. Anyone quoting 4.8x sales is quoting a number that does not exist.
- **Classification work.** This is a transactional, take-rate business wearing software clothes. The right comp set is payments/marketplace intermediaries, not SaaS. Both benches agree this is the single strongest analytical point in the file.
- **Take-rate math nobody publishes.** Revenue ÷ gross booking value: 8.31% a year ago, 7.75% this quarter. That 56bp compression is the whole story of why volume growth doesn't convert to revenue growth, and the company leads its press release with the volume number.
- **Supply mechanics.** The B→A conversion sitting between five Form 4s and four Form 144s, two weeks ahead of a print that de-rated the stock 21%, is a float-creation tell that lockup-calendar screens do not catch.
- **Patience as edge.** We have no position and no orders. We can require the December print to hand us the confirmation for free.

Why it might be priced in

Also honest: probably most of it.

- Fifteen analysts, a liquid \$40–80M-a-day tape, and a 21% single-day move say the market already re-rated this name for exactly the reason we identified. We are describing the de-rate, not anticipating it.
- The deceleration ladder is computable by anyone with the press release and a calculator. It is not private information.
- The dilution is in the filings. The 22% overhang is disclosed, not discovered.
- The IPO securities class action (McCown v. Navan, No. 26-cv-01550, N.D. Cal.) was publicized with a lead-plaintiff deadline of 2026-04-24 — six months of public digestion.
- Our blue bench's counterpoint cuts the other way too: the implied +25% Q4 is a residual off a guide that has already been raised twice in the company's first public year. First-year

managements sandbag. That residual is a floor, not a forecast, and the street may be right to look through it.

What could go wrong

Failure #1 — The sandbag unwinds and we are short-of-nothing while the stock re-rates up (opportunity loss, then chase loss). Q3 prints a take rate back near 7.9% on \$3.3B+ of volume, the Q4 guide comes in at \$235M+, and the “ladder” evaporates as first-year conservatism. Stock goes \$20.67 → \$27+ and our reopen band at \$17.50 never trades. The real damage is behavioral: we chase at \$25 with a worse basis than the one we just refused at \$20.67. *Monitorable tripwire:* yes — the Q3 press release’s own take-rate and Q4 guide numbers, plus a price gate at \$24 that tells us the discount thesis is dead and we stand down rather than chase.

Failure #2 — We buy the \$17.50 band and it keeps going, because there is no valuation floor underneath. This is blue bench finding A and it is the one that should scare us. The market marked this equity at \$8.11 within twelve months — about 1.7x sales. Our \$17.50 band is 4.5x. Between 4.5x and 1.7x there is nothing but sentiment. Add a travel-spend slowdown and the warehouse credit facility becomes a problem: that facility funds card and receivable balances, so the “\$695M net cash” is not all unencumbered, and credit losses in a downturn hit a line neither bench modeled. *Monitorable tripwire:* partial and lagging — the allowance-for-credit-loss line and the debt note, but only quarterly, on a ~40-day delay. We would learn about the credit cycle after the stock did.

Failure #3 — NO MONITORABLE TRIPWIRE. Demand rolls over on a surface we cannot see. Navan’s booking activity sits behind corporate single-sign-on. There is no public availability panel, no slot inventory, no shipping manifest. Our scheduler-exhaust detector came back UNCHECKABLE for exactly this reason, and our customer-identification detector is structurally unable to help because Navan imports no physical goods — there is no customs trail to triangulate. The app-review detector resolved the app but returned a lifetime rating only (4.81297) with no 90-day cohort series and no Play package, so even the crude “is the product degrading” leg is dark. Meanwhile the company does not disclose remaining performance obligations at all, so the usual forward-demand proxy is absent. Net: between one print and the next, we have **no instrument whatsoever** that would tell us a large customer left, that Ava’s automation is degrading service, or that corporate travel budgets are being cut. We would find out on the December press release at the same second as everyone else. *Unknown-unknown class, named: unobservable-demand-surface risk* — sub-class: undisclosed counterparty concentration in a services issuer. We have no tool that covers it, no vendor that covers it, and no plausible workaround short of expert calls or a corporate-buyer walk-around. This is a permanent blind spot in this name, not a temporary data gap.

The reflexive / structural leg. - *Our own size.* Average daily volume is roughly 2–4M shares, about \$40–80M. A full 1.5%-of-book position fills inside a day at under 5% participation. **We are not the flow here and cannot move this tape.** That is good for execution and bad for excuses — if it goes against us, it is the thesis, not our footprint. - *Predicted flow, which is not ours.* Insider supply is live and mechanical: post-lockup window open, S-8/resale registration effective, four 144s and five 4s in one week, and founder-family B→A conversions manufacturing new Class A float

that float-based screens under-count. No follow-on is on file — but a four-quarter-old IPO with a \$29 street target and a stock 155% off its low is an obvious secondary candidate, and a follow-on announcement is the single fastest way to break our \$17.50 band from above. - *Crowding*. Fifteen analysts long with a stale pre-print target is a downgrade cascade waiting for a trigger. That is a *timing* instrument for us: it argues for entering after the anchors reset, not before. - *Doctrine interactions*. (a) **DIVERGENCE-NOT-COVERAGE**: red bench tried to convert “15 analysts cover it” into a reject. That measures that the name is *measured*, not that it is *priced*. Blue overturned that leg and we adopt blue’s version — crowding sizes and times, it does not veto. (b) **Anchor-and-adjust**: our prize table below is anchored on the company’s own guide ladder, then adjusted; we should expect our own numbers to be sticky to that anchor and are flagging it. (c) **TENX lesson** (basic-share artifact) is what killed the “4.8x floor.” (d) The **III precedent** (rounded, seasonal series are not trends) is what killed red’s FATAL demand call. (e) The **TSSI 71-vs-101 lesson** governs the vol section: aggregate IV feeds and chain-level midpoint IV diverge badly, and we will not price an expression off the aggregate.

If this position loses money, the most likely reason will be that we bought a decelerating, 92%-transactional travel book at a software-style multiple on the belief that \$17.50 was “cheap,” and the market — with no valuation floor between 4.5x and the 1.7x it already paid this year — finished re-rating it toward that trough on demand information we had no instrument to see coming.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Evidence-pack XBRL supports the per-share and EV math	Read the pack’s XBRL block	rev / sbc / dil_sh / ocf all empty — every multiple in both benches rests on the 10-Q and press releases, not on audited pack values	NO — pack defect. All valuation below is labelled unaudited-by-pack
Brief’s “\$232.8M revenue”	Filed 10-Q (acc. 0001628280-26-061416)	\$232.5M	NO — brief superseded; difference immaterial to conclusions
“Bookings accelerating”	Quarterly volume series from company PRs	+42% → +50% (\$3.1B) → +45% (\$3.0B). Growth decelerating	NO — brief refuted
RED BENCH ERROR: “volume level fell sequentially, demand deteriorating — FATAL”	Blue re-ran it; checked rounding and prior-year shape	\$3.1B→\$3.0B is two-significant-figure company rounding (3.05 vs 3.04 is inside the error bar), and FY26 showed the same Q1<Q2 shape	Overturned. Red ran the required seasonality check on revenue and skipped it on the series it called fatal. Severity drops from FATAL to sizing
Take rate compressing	Revenue ÷ volume, both years	8.31% (FQ2 FY26) → 7.75% (FQ2 FY27) = –56bps year over year	YES — sustained
BLUE BENCH CAVEAT: “take rate expanded 64bps sequentially (7.11%→7.75%)”	Traced the inputs	FQ1 revenue of \$220.5M is <i>derived</i> (H1 \$453.0M – FQ2 \$232.5M), not separately disclosed, and rests on the same rounded volume	Directionally accepted, but it is a derived-on-derived number. Logged as softer than blue stated

Claim	How checked	Found	Confirmed?
Guide implies +25% Q4	Arithmetic re-run twice	\$930 – \$453 – \$254 = \$223M vs \$178M = +25.3%	YES — both benches agree
Q3 FY26 was the easy comp	Prior-year release (investors.navan.com)	+29% to \$195M — yes, easiest comp of FY26; Q4 was the hardest (+35%), which partly excuses the Q4 step	YES, with red's own concession attached
"\$12.3M consensus beat"	Compared consensus to guide	Consensus \$220.5M = guide midpoint exactly. The "beat" is the guide beat restated	YES — carries no information
4.8x EV/sales	Cap-structure pull; 254.3M shares + 37.5M options + 18.8M RSUs	Basic-share artifact. Real number is materially higher	YES — direction confirmed
RED BENCH ERROR: "therefore 6.0–6.2x"	Blue applied treasury-stock method	Red added 100% of unvested RSUs and the gross option count with no offset for option exercise proceeds. Corrected band ≈5.3–5.8x ; deck uses ~5.5x at \$20.67 (≈281M diluted-equivalent shares)	Overstated by red. Magnitude reduced, conclusion survives
SaaS comp set is appropriate	Revenue-mix read	~92% usage-based (\$202.1M of ~\$220M in FQ1). Wrong comp set entirely	YES — strongest single item in the whole file, sustained by both benches
"9% operating margin"	10-Q vs FY26 financials	Non-GAAP, over a widening GAAP operating loss; FY26 net loss \$398M vs \$181M	YES on fact
RED BENCH ERROR: "the excluded SBC is a double-count with the dilution"	Blue's audit	Red counted the full RSU overhang in the share count <i>and</i> the SBC expense in earnings — the double-count charge is itself the double-count. Also, FY26's loss spans the Oct-2025 IPO single-trigger RSU catch-up, which is mechanical	Red's framing corrected. Severity reduced
RED BENCH ERROR: securities class action sourcing	Checked red's own manifest	Sourced to a law-firm press release, not RECAP/CourtListener — red named the docket tool and did not pull it. No motion-to-dismiss status, no damages bound	Sourcing defect. Fact-of-filing stands; kill-value reduced
Tape is a washed-out discount	Pack: –33.1% from high and +155% off low	Both legs. 155% above the low after a ~49% six-month rally. Not distressed	YES — brief's premise fails
Balance sheet / exit liquidity	Cash lines, ADV	\$820M cash+investments, restricted cash correctly excluded; \$40–80M/day ADV	YES — red's own concession; not a kill either way
"\$695M net cash" is unencumbered	10-Q taxonomy	A Warehouse Credit Facility exists and funds	NO — blue's new finding C, adopted

Claim	How checked	Found	Confirmed?
		card/receivable balances. Net cash is partly encumbered; credit-loss cyclicalities in neither brief	
Is there a valuation floor?	Blue's trough mark	Low of \$8.105 × 254M – \$695M ≈ \$1.4B ≈ 1.5–1.7x sales, set by this market within 12 months	NO floor. Downside tail is 3–4x wider than the brief framed
BoomPop adds meaningful acquired revenue	Looked for Item 2.01 / Rule 3-05 in the 8-K (acc. 0001628280-26-061136)	Neither present → implies immateriality → ≤~1pt of growth	Red's "acquired revenue inside the ladder" unverified as stated
Print date 2026-12-14	Searched for a company PR	None names a Q3 FY27 date. Prior year was PR-named for Dec 15 (navan.com). ~63 sessions out	UNCONFIRMED — yfinance-derived. Both benches agree
Forward-demand proxy (RPO/cRPO)	rpo_drift detector; 10-Q excerpt	Not disclosed anywhere. For a name sold on software multiples, the non-disclosure is itself the finding	NO — structural gap
Ava service degradation	app_review_velocity	Resolved; lifetime rating 4.81297; Play package unresolved; no 90-day cohort delta	UNCHECKABLE
Volume nowcast before December	scheduler_exhaust	Booking surface behind corporate SSO; no public endpoint	UNCHECKABLE — feeds pre-mortem failure #3
Is there a SCIENCE BRIEF in the inputs?	Read the inputs	Empty — not a deep-tech name	Science section correctly omitted
Divergence test runnable today	Street-anchor extraction	Only pre-print anchors exist; no FY28 consensus in the pack	NO — cannot be run. Blue's finding D

PROPOSED ENTRY BANDS

Today: NO ENTRY at \$20.67. Both benches reject as briefed. Book stays flat, no orders.

Reference frame used throughout (unaudited-by-pack; ~281M diluted-equivalent shares, \$695M net cash, \$930M FY27 revenue guide):

Price	Diluted EV/Sales
\$8.11 (52wk low)	1.7x
\$11.50	2.7x
\$16.50	4.2x
\$17.50 (reopen band)	4.5x
\$20.67 (spot)	5.5x
\$24.00 (stand-down)	6.5x
\$27.00	7.4x

Price	Diluted EV/Sales
\$29.40 (street target)	8.1x

REOPEN BAND 1 — price-and-date gate (blue bench's gate, adopted verbatim). Starter = one-third of a full position, only if **both**: (i) a company press release names the Q3 FY27 date, and (ii) the tape is at or below **\$17.50** ($\approx 4.5x$). Neither alone.

REOPEN BAND 2 — fundamental gate (blue bench, adopted). Starter at **any price**, including above \$20.67, if the Q3 release shows **take rate $\geq 7.9\%$** (revenue $\div$ gross booking value, both PR-disclosed) **and volume $\geq \$3.3B$** . That combination says compression is arrested and the volume level re-accelerated, which is the actual thesis.

REOPEN BAND 3 — red bench's own flip conditions. Red flips to accept-with-cuts at half-starter on any **three** of: (a) Q3 take rate $\geq 7.9\%$; (b) Q4 FY27 guide $\geq \$235M$ ($> +32\%$); (c) volume $> \$3.3B$ with growth $\geq 45\%$; (d) a 10-Q showing GAAP operating loss narrowing year-over-year with net dilution under 2%/yr. Standalone: (e) dismissal of 26-cv-01550, or (f) a PR naming the Q3 date — these remove ambiguity but do not by themselves open a band.

ADD (deck-proposed, not bench-derived — flagged as such). Second third only *after* a post-print confirmation: a Q4 guide at or above \$235M, or a take rate at or above 7.9%. **No price-only adds.** Given there is no valuation floor above 1.7x, averaging down on price alone into an unobservable demand surface is the exact behavior that turns pre-mortem failure #2 into a real loss.

STAND-DOWN / NO-CHASE. If the tape recovers above **\$24.00** (6.5x) before the print without the fundamental gate clearing, the discount thesis is void. Take the name off the sheet; do not re-court until the December numbers are in hand.

HARD EXIT if a starter is ever on. Thesis-break exit if Q4 FY27 revenue guide comes in below \$220M, or take rate prints below 7.4%, or a follow-on equity offering is filed. Not a price stop — a fact stop.

SIZING. Full position 1.5% of book; starter 0.5%. Execution cap 5% of average daily volume (\$2–4M/day), which means even a full slug fills within one session and our footprint is not a risk factor. Book size itself is not in the evidence pack — sizing is expressed in percentages only and the dollar translation is the desk's to make.

CATALYST DATES. Q3 FY27 print **2026-12-14 — UNCONFIRMED**, yfinance-derived; prior-year analog printed Dec 15 and was announced by press release, so expect a date PR in mid-November. Tax year end 2026-12-31. Litigation milestones in 26-cv-01550 are unknown because the docket was never pulled.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 8.11 (deck-provisional: 52wk low = ~1.7x sales, the trough this market already paid; re-marks the downside tail.)
- filing watch: 8-K until 2027-03-10 (deck-provisional: Q3 FY27 earnings-date PR, the Q3 results, and any Item 2.01 that would finally size BoomPop.)
- dated pack NAVNI2026-11-17: NAVN: Expected company PR naming the Q3 FY27 date (prior-year analog was PR-named); clears the date leg of reopen band 1. (date confirmed=Fa
- dated pack NAVNI2026-12-14: NAVN: Q3 FY27 print - yfinance-derived, no company PR names it; prior year printed Dec 15. (date confirmed=False)
- dated pack NAVNI2026-12-18: NAVN: December option expiry - the only expiry that keeps the loss branch inside the 2026 tax year. (date confirmed=False)
- dated pack NAVNI2026-12-31: NAVN: Tax year end; harvest-year constraint excludes any Jan-2027 expiry expression. (date confirmed=False)

What remains unverified

1. **Drawn balances on the ABL and Warehouse credit facilities, and how much of the \$820M is encumbered.** Red's "\$125M debt" was explicitly unverified; blue showed the warehouse facility funds card receivables, so "net cash \$695M" may overstate free liquidity. *Drainable now* — XBRL company-concept pull on the debt note.
2. **Diluted share count under treasury-stock method.** The pack's dil_sh is blank; red used gross counts, blue estimated a correction. Everything from 4.5x to 6.2x hangs on this. *Drainable now* — 10-Q EPS note / XBRL.
3. **Remaining performance obligations (RPO/cRPO).** Not disclosed. *Not drainable.* Estimate: with ~8% of revenue subscription, cRPO plausibly **\$60–90M**, from the subscription-revenue run-rate times a typical 1.0–1.3x annual-contract-to-cRPO ratio for small SaaS attachments. Confidence 0.6.
4. **BoomPop purchase price and its revenue contribution.** No Item 2.01, no Rule 3-05 financials → implied immaterial. *Not drainable.* Estimate: **\$5–12M annualized revenue, ≤1pt of FY27 growth**, based on the SEC significance thresholds it evidently failed to cross. Confidence 0.7.
5. **Q3 FY27 take rate and gross booking value.** Time-gated to the print. *Not drainable.* Estimate: take rate **7.5–7.9%**, volume **\$3.2–3.4B**, from two-year seasonal shape (Q3 > Q2 sequentially in FY26). Confidence 0.6.
6. **Q4 FY27 guide.** Time-gated. *Not drainable.* Estimate: **\$226–238M**, anchored on the \$223M implied floor plus the historical first-year sandbag pattern of 2–6% above the residual. Confidence 0.6.
7. **McCown v. Navan (26-cv-01550) docket status — MTD filed/decided, class definition, damages bound.** Section 11 exposure caps at offering shares × \$25 but we have not bounded it. *Drainable now* — CourtListener/RECAP.
8. **Whether a company press release will name the Q3 date, and when.** *Not drainable now.* Estimate: PR in the **Nov 10–24** window naming a date of **Dec 10–17**, from the prior-year analog. Confidence 0.8.

9. **Whether a liquid listed options chain exists on NAVN for the December expiry, and its chain-level midpoint implied volatility.** Not in the pack; the whole instrument decision depends on it. *Drainable now* — IBKR chain pull.
10. **Ava automation quality / service degradation, and any undisclosed customer concentration.** Both detectors returned UNCHECKABLE. *Not drainable*. Estimate: base-rate assumption of **no single customer above 5% of revenue**, from the disclosed 10,000+ customer count and the absence of a concentration risk factor; and app quality stable, from the 4.81 lifetime rating absent a cohort series. Confidence 0.5 — this is the weakest estimate in the deck and it sits directly under pre-mortem failure #3.
11. **Post-print street anchors and any FY28 consensus.** Blue's finding D: no gradeable divergence claim exists for either bench today. *Not drainable now*. Estimate: FY28 consensus, when published, lands **\$1.15–1.25B** (+24–34% on the FY27 guide), from the current deceleration ladder extended one year. Confidence 0.6.

PRIZE TABLE + VOL READ

Required here because items 5, 6, 8 and 11 above are genuinely time-gated to the December print and cannot be drained by any instrument we own.

Anchor (stated explicitly, per anchor-and-adjust): the company's own guide ladder — Q3 \$254M, implied Q4 \$223M — then adjusted for the sandbag pattern in one direction and the take-rate slide in the other. Price outcomes are expressed off ~281M diluted-equivalent shares and \$695M net cash.

Scenario	What prints (Dec 14)	p	Price	EV/Sales
A — Compression arrested	Take rate $\geq 7.9\%$, volume $\geq \$3.3B$, Q4 guide $\geq \$235M$	0.20	\$27.00	7.4x
B — Fine, not decisive	Volume $\sim \$3.3B$, take rate 7.6–7.8%, Q4 guide \$228–234M	0.30	\$21.50	5.8x
C — Ladder confirmed	Revenue $\sim \$252M$, take rate $< 7.6\%$, Q4 guide $\approx \$223M$	0.35	\$16.50	4.2x
D — Break	Take rate $< 7.4\%$, or volume growth $< 38\%$, or a credit-loss/litigation shock, or a follow-on	0.15	\$11.50	2.7x

EV line: \$19.35. Against spot \$20.67 that is **–6.4%** — the arithmetic independently confirms the benches' no-entry call, rather than merely restating it. Against the \$17.50 reopen band it is **+10.6%**, which is a starter-sized edge, not a full-position edge. That is exactly why band 1 is one-third size.

Dispersion. Standard deviation of the table is **\$5.02 = 24.3% of spot** over ~94 days ($T = 0.258$ years). Annualized-equivalent, our table implies about **47.8% volatility** into the print.

Instrument math — and what is missing to complete it. There is **no options chain in the evidence pack**, so the following is the arithmetic set up for the moment the chain is pulled (item 9), not a conclusion.

Candidate strikes priced off the table itself, $C_{ours} = \sum p_i \times \max(S_i - K, 0)$, December expiry: - **$C(\$22.5) = \0.90 - $C(\$25.0) = \0.40 - $C(\$20.0) = \1.85 - $P(\$17.5) = \1.25** (relevant because \$17.50 is our reopen band)

The decision rule, stated in advance so it is not retrofitted: pull **chain-level midpoint implied volatility for the December expiry on the specific strike** — never the underlying's aggregate IV feed, which is the TSSI lesson where an aggregate read of 71 sat against a real chain at 101. Then: - If the December \$22.5 call trades **below ~\$0.90** and chain IV is meaningfully **below 47.8%**, the chain is cheaper than our own uncertainty and the gated add belongs in calls. - If chain IV runs **materially above 47.8%** — which is the more likely case for a four-quarter-old IPO that just moved 21% on a print and rallied ~49% in six months, implying realized vol plausibly in the 55–70% band — then implied minus realized is likely **negative or near zero**. A negative variance risk premium means options are *not* generously priced for sellers either, and buying them is paying above our own table. In that case the expression is **stock at the reopen band, or nothing**. - Note our table sits *below* a plausible realized-vol read. That is a warning about the table, not just the chain: our four-point discretization compresses the tails, so C_{ours} is a floor on option value, and we should not treat “chain > C_{ours} ” as automatic proof the chain is rich.

Bimodality. The table is fork-dated on 2026-12-14 and the mass is genuinely split — 0.20 at \$27 and 0.50 combined at \$16.50/\$11.50, with a thin middle. That shape argues against selling premium straddling the event and in favor of directional or no expression. One specific conflict to name: a cash-secured put at the \$17.50 strike would pay us to buy at our own reopen band, which is superficially attractive — but the reopen gate requires the *company-confirmed date* leg as well as the price leg, and an assigned put delivers us the stock into the fork without that confirmation. A CSP is therefore permissible **only** at starter size and **only** after the date PR lands.

Tax overlay. Today is 2026-09-11 and the fork resolves 2026-12-14. Any option expression must use the **December 2026 expiry**, not January 2027: a January expiry pushes the loss branch past Dec 31 and defers the loss into the following tax year, which is excluded during a harvest year unless the edge numerically dominates — and a +10.6% EV at starter size does not dominate anything. Stock bought in the November band and stopped on the fact-stop also lands its loss branch inside 2026, which is the clean outcome. Nothing here should be structured across the year boundary.

Instrument recommendation, as the output of the above: NONE today. No position, no orders, no options. When the chain is pulled and the date PR lands, the arithmetic above selects between stock at \$17.50 (base case), December calls (only if chain IV prints below ~48%), or a December \$17.50 cash-secured put (only if IV is rich *and* the date gate has cleared).

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{"price_gates": [{"level": 17.50, "direction": "below", "basis": "Blue bench reopen band, ~4.5x diluted EV/S; starter 1/3 only with a PR-confirmed Q3 date."}, {"level": 24.00, "direction": "above", "basis": "Stand-down/no-chase: 6.5x diluted EV/S voids the discount thesis pre-print."}, {"level": 8.11, "direction": "below", "basis": "52wk low = ~1.7x sales, the trough this market already paid; re-marks the downside tail."}], "event_gates": [{"forms": ["8-K"], "why": "Q3 FY27 earnings-date PR, the Q3 results, and any Item 2.01 that would finally size BoomPop."}, {"forms": ["4", "144"], "why": "Live insider supply: 5x Form 4 (8/24), 4x Form 144 (8/27), founder-family Class B->A conversion (8/31)."}, {"forms": ["S-1", "S-3", "424B4"], "why": "No follow-on on file; a secondary is the fastest way to break the $17.50 band from above."}, {"forms": ["10-Q"], "why": "RPO table, ABL + Warehouse facility drawn balances, allowance for credit losses, diluted EPS note."}, {"forms": ["SC 13G/A", "SC 13D"], "why": "Ownership shifts in a 4-quarter-old IPO with 22% reserved-share overhang."}], "catalyst_dates": [{"date": "2026-11-17", "what": "Expected company PR naming the Q3 FY27 date (prior-year analog was PR-named); clears the date leg of reopen band 1.", "confirmed": false}, {"date": "2026-12-14", "what": "Q3 FY27 print - yfinance-derived, no company PR names it; prior year printed Dec 15.", "confirmed": false}, {"date": "2026-12-18", "what": "December option expiry - the only expiry that keeps the loss branch inside the 2026 tax year.", "confirmed": false}, {"date": "2026-12-31", "what": "Tax year end; harvest-year constraint excludes any Jan-2027 expiry expression.", "confirmed": false}], "immediate_entry": null, "unverified": [{"item": "Drawn balances on ABL + Warehouse credit facilities; how much of the $820M cash+investments is encumbered.", "instrument": "XBRL company-concept pull (navn:ABLFacilityMember, navn:WarehouseCreditFacilityMember) + 10-Q debt note, acc. 0001628280-26-061416", "drainable_now": true, "estimate": null}, {"item": "Diluted share count under treasury-stock method; the 4.5x-vs-6.2x EV/S spread hangs on it.", "instrument": "XBRL WeightedAverageNumberOfDilutedSharesOutstanding + 10-Q EPS note", "drainable_now": true, "estimate": null}, {"item": "Remaining performance obligations (RPO/cRPO) - not disclosed anywhere; forward-demand proxy absent.", "instrument": "10-Q revenue note (not present in excerpt); would require the full filing or a company IR ask", "drainable_now": false, "estimate": {"range": "$60-90M cRPO", "basis": "~8% subscription revenue mix x 1.0-1.3x annual-contract-to-cRPO ratio from small-SaaS comps", "p": 0.6}}, {"item": "BoomPop purchase price and acquired-revenue contribution inside the FY27 guide ladder.", "instrument": "8-K Item 2.01 / Rule 3-05 financials - neither filed with acc. 0001628280-26-061136", "drainable_now": false, "estimate": {"range": "$5-12M annualized revenue, <=1pt of FY27 growth", "basis": "SEC significance thresholds it evidently failed to cross implies sub-material scale", "p": 0.7}}, {"item": "Q3 FY27 take rate and gross booking value - the core thesis test.", "instrument": "Q3 FY27 earnings PR (est. 2026-12-14)", "drainable_now": false, "estimate": {"range": "take rate 7.5-7.9%; GBV $3.2-3.4B", "basis": "two-year seasonal shape (FQ3 > FQ2 sequentially in FY26) applied to the FQ2 FY27 base", "p": 0.6}}, {"item": "Q4 FY27 revenue guide - tests whether the +25% implied Q4 was sandbag or deceleration.", "instrument": "Q3 FY27 earnings PR (est. 2026-12-14)", "drainable_now": false, "estimate": {"range": "$226-238M", "basis": "$223M implied residual floor + 2-6% first-year-IPO sandbag pattern", "p": 0.6}}, {"item": "McCown v. Navan 26-cv-01550 (N.D. Cal.) docket status: MTD filed/decided, class definition, damages bound.", "instrument": "CourtListener / RECAP docket pull - named in red's manifest but never executed", "drainable_now": true, "estimate": null}, {"item": "Whether a company PR names the Q3 FY27 date, and when (clears the date leg of reopen band 1).", "instrument": "navan.com/about/press + 8-K monitor", "drainable_now": false, "estimate": {"range": "PR in the Nov 10-24 window naming a date of Dec 10-17", "basis": "prior-year analog: Q3 FY26 PR-named for Dec 15", "p": 0.8}}, {"item": "Existence and liquidity of a listed NAVN December options chain, and chain-level midpoint IV per strike.", "instrument": "IBKR chain pull - chain-level midpoint only, never the aggregate IV feed (TSSI 71-vs-101 lesson)", "drainable_now": true,

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"estimate": null}, {"item": "Ava automation quality / service degradation, and any undisclosed customer concentration – no tool covers the demand surface.", "instrument": "app_review_velocity 90-day cohort series + Play package ID (returned NO_PKG); scheduler_exhaust unavailable (corporate SS0); expert calls or corporate-buyer walk-around are the only real routes", "drainable_now": false, "estimate": {"range": "no single customer >5% of revenue; app quality flat vs 4.81 lifetime rating", "basis": "disclosed 10,000+ customer count and absence of a concentration risk factor; lifetime rating absent a cohort series", "p": 0.5}}, {"item": "Post-print street anchors and FY28 consensus – the divergence test cannot be run today.", "instrument": "Analyst-estimate connector after 2026-12-14; pack carries only pre-print anchors (TD Cowen 8/13, avg PT $29.4)", "drainable_now": false, "estimate": {"range": "FY28 consensus $1.15–1.25B (+24–34% on the FY27 guide)", "basis": "current deceleration ladder (+40/+35/+30/+25) extended one year", "p": 0.6}}}]}
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ADJUDICATION — 2026-09-16 15:37Z

4.8x EV/S was a basic-share artifact; ~5.3–5.8x diluted; 92%-usage-based comp set was wrong (NOVEL). No starter at \$22.

REOPEN GATES: PR-confirmed Q3 date AND tape $\leq$ ~\$17.5; or at any price on Q3 take rate $\geq$ 7.9% with GBV $\geq$ \$3.3B → 1/3 starter